

large number of FDs which would be cumbersome to manage without online banking facilities. All you have to do is fill up a simple form to get your account enabled for online banking. It is a onetime effort but pays you 'n' number of times.

Remember the principle "Pay yourself first before you pay others" and make sure that with your next salary or next cash inflow, you make the first fixed deposit before starting to spend money on your other routine expenses.

I started off my journey "only" with fixed deposits, and that too of a small sum of ₹10,000/-.

Bank fixed deposits are a great way to start your journey, mainly because the principle amount that you invested is assured and you know exactly what interest you will earn and when. This is not a trivial thing, because once you get into stocks, MFs, FMPs, you will realize how good it used to feel to have your principle amount and your returns assured. This does not mean that you should not invest in stocks or MFs or FMPs. But it is always good to start on a relatively more assured footing.

Bank fixed deposits should not be more than 10 to 15% of your portfolio when you become a mature investor. However, you can start off with even 100% of your portfolio being fixed deposits. It is more important to get into the habit of paying yourself first and starting the journey right now rather than anything else.

While creating your fixed deposits online, make sure to take care of the following points:

- Look for the best possible interest rates online. Most banks pay you higher rates for special periods. For example, a bank may pay 8.75% for a 1 year deposit and 9.25% for a 1 year and 16 day deposit. Choose the best interest rate for the best period as suitable to you before locking your FD.
- While choosing the FD maturity option, look for a cumulative deposit option rather than an interest payout option. It is important to leverage the benefit of compound interest. In an interest payout option, interest keeps coming back to you in